



“From a medium- to long-term perspective, the average annual return on Indian equities is expected to be 11-13%”

FEROZE AZEEZ
DEPUTY CEO, ANAND RATHI WEALTH



“The recent inflows into China could be seen as a short-term tactical move... Current FPI outflows are likely to moderate soon”

DEVARSH VAKIL
DEPUTY HEAD OF RETAIL RESEARCH,
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rupee enhances global competitiveness,” he says.

Azeez adds that a weaker rupee makes imports more expensive. “This, in turn, impacts corporate profit margins to a certain extent,” he says.

WHAT CAN INVESTORS DO?

The correction has led many new investors—130 million of whom have entered the market since March 2020—to reassess their strategies. “Correction is a way of life... and it is yet to fully unfold. Investors should understand that every trade does not end in profit,” is the mantra that Arun Kejriwal, Founder and CEO of market research firm Kejriwal Research and Investment Services, believes in.

He also cautions against expecting the exceptional returns of recent years to continue, advising investors to temper their expectations.

FUTURE OPPORTUNITIES

Despite ongoing challenges, experts remain bullish on select sectors. Sandeep Raina, Executive Vice President—Research of wealth management firm Nuvama Professional Clients Group, identifies opportunities in IT services, hospitals, and textiles, citing sector-

specific catalysts like the US investment cycle, capacity expansions, and global disruptions.

“We see opportunities in IT services, driven by the US investment cycle following the formation of the new government; in hospitals, benefiting from significant capacity expansions over the past 12-18 months; and in textile exports, with substantial potential following the Bangladesh crisis,” says Raina.

Garg, meanwhile, favours pharma, FMCG, and defensives. He notes, “The pharma sector benefits from increased health awareness and government incentives promoting local production.” He adds that FMCG companies continue to enjoy steady demand, as they provide essential goods. This consistency in cash flow and relative insulation from market volatility makes FMCG an attractive sector.

Raina recommends a staggered investment approach, focussing on high-growth companies with reasonable valuations. On the other hand, Vakil adds that large-cap stocks can protect capital in the short term, while

small- and mid-caps can experience the brunt of selling. “In the long run, we prefer a balanced approach with an equal mix of large-, small- and mid-cap stocks that provides stability and growth,” he says.

PRESERVE CAPITAL

The recent correction has not only put a dent in investor confidence, but it has also underscored the resilience of India’s economy and corporate sector.

Garg concludes by saying that in the current environment, the focus should shift from aggressive returns to capital preservation. With high valuations and rising market volatility, a prudent approach would involve cautious allocation and a selective choice of sectors. “Instead of chasing high-growth stocks, investors should lean toward quality companies with strong balance sheets and stable cash flows,” he says.

While short-term challenges persist, experts agree that India’s long-term growth story remains intact. A disciplined, value-oriented investment strategy may hold the key to navigating these turbulent times and seizing opportunities when the markets stabilise. **BT**

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